



TCS Q3FY22 performance was a mixed bag with revenue in-line with our estimates while EBIT margins were below our estimate

- \$ Revenue came in at \$ 6,524 Mn, +3% qoq / +14.4% yoy and in-line with our estimates
- INR revenue came in at INR 488,850 Mn, +4.3% qoq / +16.4% yoy and in-line with our estimates
- EBIT was reported at INR 122,370 Mn, +2% qoq / +9.4% yoy and -4% below our estimates
- EBIT margins at 25%, vs 25.5% / 25.6% in Q2FY22 / Q3FY21 respectively and 60 bps below our est.
- PAT came in at INR 97,690 Mn, +1.5% qoq / +12.3% yoy and -2.6% below our estimates
- EPS at INR 26.4 in Q3FY22 vs 25.6 / 23.2 in Q2FY22 / Q3FY21 respectively
- Company declared a dividend of INR 7 per share and also announced a buy-back worth INR 18,000 Cr at INR 4,500 per share
- Attrition stood at 15.3% vs 11.9% in the previous quarter

Segmental Performance

- **Vertical-wise:**
 - Sequential growth was primarily led by Retail & CPG (15% of rev) at 3.7% qoq, Manufacturing (9.9% of rev) and Communications (6.5% of rev) followed closely at 3% qoq each
 - BFSI (32% of revenue) grew at 2.1% qoq and Regional & Other markets (17.8% of revenue) grew at 5.4% qoq
 - Sequential Client additions were healthy as TCS added 4 clients in \$100 Mn+ category and 4 in \$20 Mn+ bucket
- **Geographically:**
 - Sequential growth during the quarter was largely driven by India (5.5% of revenue) at 11.1% qoq growth followed by North America (50.7% of rev) at +3.8% qoq and Europe (16% of rev) at +3.7% qoq after a dismal Q1FY22.

Financial Summary

Y/E Mar (Rs mn)	FY 20	FY 21	FY 22E	FY 23E	FY 24E
Net sales	15,69,490	16,41,770	19,17,144	21,54,810	23,50,887
EBIT	3,85,800	4,24,810	4,88,354	5,49,692	6,00,974
Adjusted net profit	3,22,382	3,41,916	3,97,356	4,40,838	4,85,955
Free cash flow	2,07,759	3,19,840	3,18,144	3,74,549	4,27,518
EPS (Rs)	85.9	92.5	107.5	119.2	131.4
growth (%)	3%	8%	16%	11%	10%
P/E (x)	44.9	41.7	35.9	32.3	29.3
P/B (x)	17.2	16.2	13.6	11.6	10.0
EV/EBITDA (x)	34.4	30.6	26.5	23.8	21.7
D/E	-	-	-	-	-
ROCE (%)	28.8	33.1	33.5	32.1	30.7
RoE (%)	37.1	39.7	41.2	38.8	36.7
Dividend yield (%)	2.2	0.8	1.4	1.5	1.7

Source: Company

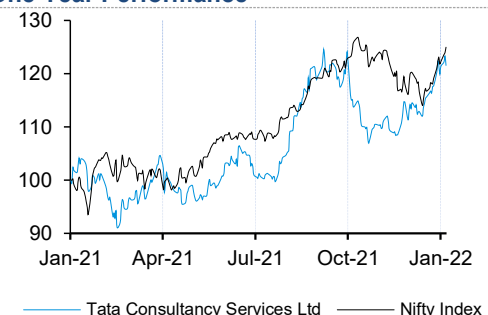
Rating	TP (Rs)	Up/Dn (%)
BUY ON DIPS	3,943	2.2

Market data

Current price	Rs	3,860
Market Cap (Rs.Bn)	(Rs Bn)	14,278
Market Cap (US\$ Mn)	(US\$ Mn)	1,93,174
Face Value	Rs	1
52 Weeks High/Low	Rs	4123 / 2701
Average Daily Volume	('000)	1,986
BSE Code		532540
Bloomberg		TCS.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Dec-21	Sep-21
Promoters	72.19	72.19
Public	27.81	27.81
Total	100	100

Source: BSE

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Conference Call KTAs

- Margin walk: EBIT margins were down 60 bps qoq: 70 bps impact from backfilling costs, targeted increments and subcon costs, 60 bps impact due to discretionary expenses like travel, marketing, recruitment and facility expenses which was offset by operational efficiencies such as pyramid balancing, better utilization and slight uptick in utilization
- Invested funds stood at INR 669.85 Bn
- Contextual masters (individuals who have demonstrated deep contextual knowledge of their customer's business) crossed 38,000
- Churn in attrition is stabilizing for now (may increase in Q4 due to LTM calculation)
- Fulfilled fresher hiring target of 34,000 freshers (in H2FY22) in Q3FY22 itself
- Growth led by Retail and CPG, Banking and Manufacturing verticals
- In terms of geography, growth was led by North America and Continental Europe
- Ignio won 10 new customers and 5 go lives
- TCS BANCS saw 9 new wins and 5 go lives
- Quartz (Blockchain platform) saw 3 new wins and is being leveraged across variety of use cases like mobile payments, solar energy tracking, issuance of bank guarantees, internet borrowing, etc.
- TCS Hobbs (suite of products for communications vertical) saw 2 go lives and has been adopted in a completely different industry by state electricity distribution
- TwinX (AI based digital twin) had 4 wins and 3 go-lives
- TCS Omnistore had 2 new wins during the quarter
- TCS ADD is now live at Amgen – one of the world's leading biotech companies.
- TCS MasterKraft had 24 new wins
- Demand trends continue to remain healthy and in 3 trends as mentioned by MD: increase the investments in building a digital core, tech and operations optimization, and growth and transformation
- TCS is participating in a big way in industries level transformation – mainly in Utilities and Healthcare sector
- Utilities: a big theme playing out in the sector is distributed energy resources, like solar and wind farms where TCS is helping a certain utility in N. America to build renewable energy performance center that will help drive the performance and asset health of the renewable assets. The platform is already connected to 171 wind turbines and 3 large solar farms

- Healthcare industry: going through sectoral transformation, specially in patient engagement models and back-end operations
- TCV of deal wins stood at \$7.6 Bn in Q3 - \$2.9 Bn in BFSI and \$1 Bn in Retail
- Management believes that the multiyear technology cycle is playing out in the Horizon 1,2 and 3 format. Horizon 1 is Cloud migration which is playing out globally | Horizon 2 will takeover and cloud native capabilities will be leveraged to transform the company's core and connectivity with partners is enhanced | Horizon 3 - where ecosystem play becomes an important driver for the entire industry and this is the space where TCS plans to act as an anchor to the system
- Management is seeing some price increases in current quarter and there is an overall expectation of rising pricing in current environment
- Not seeing any reduction in client budgets in CY22 and one can expect demand environment to sustain
- Expect some more supply side interventions to continue in Q4 as long as churn remains elevated
- Subcontractor expenses will remain slightly elevated until the churn in the industry settles down
- BFSI will see base of effect of strong Q4FY21 play out in Q4FY22

Quarterly Performance Analysis

Exhibit 1

YE March (Rs. mn)	Q3 FY 22	Q2 FY 22	Q-o-Q change %	Q3 FY 21	Y-o-Y change %	Q3FY22 Est.	Deviation %
Total Revenue (USD Mn)	6,524	6,333	3.0%	5,702	14.4%	6,525	0.0%
Total Revenue (INR Mn)	4,88,850	4,68,670	4.3%	4,20,150	16.4%	4,88,830	0.0%
Less:							
Cost of Revenues	2,84,010	2,70,480	5.0%	2,37,490	19.6%	2,74,502	3.5%
SG&A Expenses	70,510	67,040	5.2%	60,590	16.4%	75,769	-6.9%
Total Expenditure	3,54,520	3,37,520	5.0%	2,98,080	18.9%	3,50,271	1.2%
EBIDTA	1,34,330	1,31,150	2.4%	1,22,070	10.0%	1,38,559	-3.1%
Less: Depreciation	11,960	11,150	7.3%	10,230	16.9%	11,150	7.3%
EBIT	1,22,370	1,20,000	2.0%	1,11,840	9.4%	1,27,409	-4.0%
Other income (expense), net	9,540	9,690	(1.5%)	5,080	87.8%	8,799	8.4%
Profit Before Tax	1,31,910	1,29,690	1.7%	1,16,920	12.8%	1,35,158	-2.4%
Total Tax	33,850	33,160	2.1%	29,650	14.2%	34,558	-2.0%
PAT before Minority Interest	98,060	96,530	1.6%	87,270	12.4%	1,00,600	-2.5%
Minority Interest	370	290	N.A.	260	N.A.	302	
Profit After Tax	97,690	96,240	1.5%	87,010	12.3%	1,00,298	-2.6%
Basic & Diluted EPS (Rs.)	26.4	25.6	3.0%	23.2	13.9%	27.1	-2.6%
Basic & Diluted Outstanding (mn)	3,699	3,752		3,752		3,699	
Margin Analysis %			Change in bps	Change in bps			
EBIDTA Margin	27.5%	28.0%	-50	29.1%	-158	28.3%	-87
Operating Margin	25.0%	25.6%	-57	26.6%	-159	26.1%	-103
PBT Margin	27.0%	27.7%	-69	27.8%	-84	27.6%	-67
NPM	20.0%	20.5%	-55	20.7%	-73	20.5%	-53
Effective Tax Rate (%)	25.7%	25.6%	9	25.4%	30	25.6%	9
Cost Analysis %			Change in bps	Change in bps			
Cost of Revenues/ Sales	58.1%	57.7%	39	56.5%	157	56.2%	194
SG&A/Sales	14.4%	14.3%	12	14.4%	0	15.5%	-108
Other income/ PBT	7.2%	7.5%	-24	4.3%	289	6.5%	72

TCS' USD revenue growth of 3% qoq was inline with our est.. Margins were restricted due to compensation hikes retention costs and on-going investments. Going ahead, we expect company to maintain growth momentum but margins to be capped at current levels

Valuation & Outlook

TCS is currently trading at 32.3x / 29.3x FY23e / FY24e EPS. TCS' results were weaker than we expected. Sequential revenue growth momentum was slower than the last few quarters despite the robust demand environment. Additionally, we believe that the company has not been able to absorb previous quarter's wage hike – partly because of higher retention costs on the back of the supply side crunch and partly due to continuous investments for growth.

Management indicated that demand environment continues to remain strong even in CY22 and strongly believe that a multiyear technology transformation journey will unfold.

Therefore, we maintain our HOLD rating on the stock and arrive at a target price of INR 3,943, i.e. 30x FY24e EPS.

Financial

Profit & Loss A/c					
YE March (Rs.mn)	FY20	FY21	FY22E	FY23E	FY24E
Net Sales	15,69,490	16,41,770	19,17,144	21,54,810	23,50,887
Sales Growth%	7.2%	4.6%	16.8%	12.4%	9.1%
Total Revenue	15,69,490	16,41,770	19,17,144	21,54,810	23,50,887
Less:					
Employees Cost	8,96,350	9,40,530	11,04,513	12,22,549	13,31,149
SG&A	2,52,040	2,35,780	2,78,447	3,39,947	3,76,142
Total Operating Exp	11,48,390	11,76,310	13,82,960	15,62,497	17,07,291
EBITDA	4,21,100	4,65,460	5,34,184	5,92,314	6,43,596
EBITDA Growth%	6.6%	10.5%	14.8%	10.9%	8.7%
Less: Depreciation	35,300	40,650	45,830	42,622	42,622
Operating Profit	3,85,800	4,24,810	4,88,354	5,49,692	6,00,974
Growth%	3.0%	10.1%	15.0%	12.6%	9.3%
Non-operating Income	36,680	24,970	34,079	29,725	37,568
Profit Before Tax	4,22,480	4,48,080	5,20,733	5,77,717	6,36,842
Tax	97,170	1,03,058	1,19,769	1,32,875	1,46,474
Minority Interest	2,928	3,105	3,609	4,004	4,413
Net Profit	3,22,382	3,41,916	3,97,356	4,40,838	4,85,955
Adjusted Profit	3,22,382	3,41,916	3,97,356	4,40,838	4,85,955
Diluted EPS Rs	85.9	92.5	107.5	119.2	131.4
Diluted EPS Growth%	2.7%	7.6%	16.2%	10.9%	10.2%

Key Ratios					
YE March (Rs.Mn)	FY20	FY21	FY22E	FY23E	FY24E
EBIT Margins %	24.6%	25.9%	25.5%	25.5%	25.6%
NPM(%)	20.5%	20.8%	20.7%	20.5%	20.7%
RoE(%)	30.5%	36.7%	36.8%	34.8%	33.1%
RoCE(%)	28.8%	33.1%	33.5%	32.1%	30.7%
BV/PerShareRs.	224	239	283	332	385

Valuation Ratios					
	FY20	FY21	FY22E	FY23E	FY24E
P/E(x)	44.9x	41.7x	35.9x	32.3x	29.3x
EV/EBITDA	34.4x	30.6x	26.5x	23.8x	21.7x
P/BV(x)	17.2x	16.2x	13.6x	11.6x	10.0x
EV/Sales(x)	9.2x	8.7x	7.4x	6.5x	5.9x
Market Cap./Sales(x)	9.2x	8.7x	7.4x	6.6x	6.1x

Key Ratios					
YE March (Rs.mn)	FY20	FY21	FY22E	FY23E	FY24E
Key Operating Ratios					
EBITDA Margin(%)	26.8%	28.4%	27.9%	27.5%	27.4%
Tax/PBT(%)	23.0%	23.0%	23.0%	23.0%	23.0%
Net Profit Margin(%)	20.5%	20.8%	20.7%	20.5%	20.7%
RoE(%)	37.1%	39.7%	41.2%	38.8%	36.7%
RoCE(%)	28.8%	33.1%	33.5%	32.1%	30.7%
Current Ratio(x)	2.5x	2.5x	2.7x	2.9x	3.2x
Dividend Payout(%)	116.7%	41.3%	59.0%	59.0%	59.0%
Book Value Per Share(Rs.)	224.2	238.5	282.6	331.5	385.4
Growth Indicators%					
Growth in Gross Block(%)	8.9%	7.6%	7.0%	6.6%	6.2%
Sales Growth(%)	7.2%	4.6%	16.8%	12.4%	9.1%
EBITDA Growth(%)	6.6%	10.5%	14.8%	10.9%	8.7%
Net Profit Growth(%)	1.6%	6.1%	16.2%	10.9%	10.2%
Diluted EPS Growth(%)	2.7%	7.6%	16.2%	10.9%	10.2%

Balance Sheet					
YE March(Rs.mn)	FY20	FY21	FY22E	FY23E	FY24E
Liabilities					
Equity Capital	3,750	3,697	3,697	3,697	3,697
Reserves & Surplus	8,37,510	8,78,174	10,41,111	12,21,877	14,21,144
Equity	8,41,260	8,81,871	10,44,808	12,25,574	14,24,841
Net Worth	8,41,260	8,81,871	10,44,808	12,25,574	14,24,841
Minority Interest	6,230	9,335	12,944	16,947	21,361
DTL/(DTA)	7,790	7,790	7,790	7,790	7,790
Capital Employed	9,44,100	9,88,142	11,55,930	13,41,772	15,46,336
Assets					
Gross Block	2,64,440	2,84,440	3,04,440	3,24,440	3,44,440
Less: Depreciation	1,55,030	1,95,680	2,41,510	2,84,132	3,26,753
Net Block	1,09,410	88,760	62,930	40,308	17,687
Capital WIP	9,060	9,477	11,067	12,439	13,571
Investments	2,63,560	2,75,698	3,21,940	3,61,851	3,94,778
Intangible Assets	19,930	19,930	19,930	19,930	19,930
Current Assets					
Sundry Debtors	3,62,640	3,79,341	4,42,967	4,97,882	5,43,186
Cash and Bank Balance	82,720	1,05,375	1,69,688	2,66,582	4,01,611
Total Current Assets	6,34,000	6,82,042	8,43,079	10,23,454	12,27,355
Less: Current Liabilities					
Sundry Creditors	67,400	69,039	81,167	91,704	1,00,202
Provisions	2,930	3,092	3,593	3,986	4,394
Other Current Liabilities	1,87,590	1,96,229	2,29,143	2,57,549	2,80,985
Total Current Liabilities	2,57,920	2,68,360	3,13,903	3,53,240	3,85,581
Capital Applied	9,44,100	9,88,142	11,55,930	13,41,772	15,46,336

Free Cash Flow Statement					
YEMarch (Rs.mn)	FY20	FY21	FY22E	FY23E	FY24E
EBITDA	3,85,800	4,24,810	4,88,354	5,49,692	6,00,974
Less: Adjusted Taxes	88,734	97,706	1,12,321	1,26,429	1,38,224
NOPLAT	2,97,066	3,27,104	3,76,033	4,23,263	4,62,750
Plus: Depreciation	35,300	40,650	45,830	42,622	42,622
Operating Cashflow	3,31,839	3,59,585	3,96,506	4,44,030	4,87,230
Less: Net Capex	40,520	20,417	21,590	21,372	21,132
Total FCF	2,07,759	3,19,840	3,18,144	3,74,549	4,27,518

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